SPM assignment. 2

1. What is meant by the business environment? Explain the major factors that make the modern project environment challenging

— The business environment refers to all the internal and external factors that influence the activities, decision performance and growth of business organization.

Major Factor Making the modern Business / project Environment challenging

i. Rapid Technological changes: Technology changes quickly. organization need to continuously adapt new technologies to remain competitive.

ii. Globalization: Businesses operate in international markets and face competition from companies around the world.

iii. Economic uncertainty: Inflation interest rate, unemployment, exchange rate, and economic slowdown can affect business operation and project

iv. Cybersecurity and data privacy: Business depend heavily on digital system making cybersecurity and protection of customer data important challenge.

The modern business environment is dynamic and uncertain. organizations must continuously monitor external changes and adapt their strategis to

2. Explain the impact of Technology, and the Internet on the modern business climate.

— Technology and the Internet have significantly changed how business operate, Communicate market products, and interact with customer.

Major Impacts:

1. Global Market Access
The Internet allow business to sell products and Services to Customers across different Countries.

2. E-Commerce:
Customer Can purchase products and Services Online through website and mobile applications.

3. Faster Communication: Email, video Conferencing, instant messaging, and Collaborative platform, enable quick Communication.

4. Automation: Technology Can automate repetitive activities such as billing, data processing, inventory management and Customer Support.

5. Cybersecurity Risk: greater dependence on Technology also increase risk's such as hacking, malware, data breaches and. Technology and the Internet have increased the speed, reach efficiency.

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What is the PESTEL framework? Explain its six factors and how it helps in Strategic planning.

Meaning of PESTEL: It a Strategic analysis framework used to examine the external, macro-environmental factors that may affect an organization or project.
PESTEL stand for
P: Political
E: Economic
S: Social
T: Technological
E: Environmental
L: Legal

1. Political: These include government policies political stability, taxation policies, trade policies and government regulation.
2. Economic factor: These include Inflation Interest rate unemployment, economic growth, income levels and exchange rats.
3. Social factors: These include population trends, lifestyle, culture, education, demographs and Consumer perfomes.
4. Technological factors: These include, technological innovation, automation, artificial intelligence, cloud Computing and digitalization.

5. Environmental factors: These include climate change, pollution, sustainability, waste management and availability natural resources.
6. Legal factors: These include laws and regulations relating to employment, Consumer protection, data privacy.

Differentiate between objectives, Strategies tactics, vision and Mission in Strategic

1. Vision: A Statement describing what an organization want to become in the future
Main focus: future direction
Example: To become a leading technology Company.
2. Mission: Explains the organizations purpose and what it does.
Main focus: Present purpose.
Example: To provide affordable and reliable digital Services
3. objectives: Specific goals that an organization want to achieve.
Main focus: What to achieve.
Example: Increase Sales by 15% within one year
4. Strategies: broad plans or approaches used to achieve objectives.
Main focus: How to achieve major goals
Example: Expand into online markets.

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5. Tactics: Specific actions used to implement a Strategy
Main Focus: Specific activities
Examples: Launch Social-media advertising and online promotion

Relationship between them

Vision → Mission → Objectives → Strategies
↓
Tactics.

5. What is SWOT Analysis? Explain how an organization can use its Strengths and weaknesses to address opportunities and Threats.

⇒ SWOT Analysis is a Strategic planning tool used to identify an organization internal Strength and weakness and external opportunities and threats.
S- Strengths
W: Weakness
O: opportunities
T: Threats
1. Strengths: are the internal Capabilities or resources that give an organization an advantage.

using Strength to address opportunities
An organization can use its existing Strengths to take advantage of opportunities
Example:
A Company with strong software development skill can use the growing demand for AI application. Use AI to develop new AI-based products.

SWOT analysis help an organization understand its current position, use its Strengths effectively, Correct weakness, take advantage of opportunities, and prepare for threats.

Strengths and opportunities: use Strengths to take advantage of opportunities
Threats: use Strengths to reduce threats.
Weaknesses and opportunities, Threats:
Improve weakness to exploit opportunities
Reduce weakness to minimize threats.